

- Question 2:** You are contemplating making an investment in emerging markets equities. Before making an investment, you decide to research the track record of a mutual fund manager that has underperformed his index, the MSCI EM Index, by 300 basis points per annum over the past five years. How likely would you be to then seek information to understand what strategy was used and what kinds of risks were taken to achieve this result (i.e., you might actually invest if you understand why the manager underperformed)?
- a. Very unlikely
 - b. Unlikely
 - c. Likely
 - d. Very likely

Diagnostic Quiz: Review

Let's begin by reviewing the logic employed in the preceding diagnostic quiz. First, here are a few scoring and assessment guidelines, broken down by question/item. Afterwards, we will discuss some overall tactics that can help to prevent people from sustaining financial harm as a result of self-attribution bias.

Question 1: Often, investors examine the track record of a mutual fund, see terrific performance over three or five years, and decide to invest. This can be a mistake if returns were achieved by taking too much risk or in a single strategy. For example, the Russell 2000 manager might have achieved her returns by concentrating the portfolio in 15 names, and hit two grand slam home runs and picked four substantially losing investments. This might have been a case of luck versus skill, but the track record doesn't show that. Also, what was the annualized standard deviation? If it was markedly higher than the index, this is a red flag. Investors need to focus not only on the outcome but also the process.

Question 2: Similarly, in Question 2, the emerging markets manager may have made a conscious decision to avoid a certain country or a group of countries that performed exceptionally well but unexpectedly so. (By the way, this is the case for indexing—you never need to worry about substrategies that you do not own performing well because you own them all.) Suppose your thesis now is that China and India will outperform and this manager is well positioned in these markets. You may want to invest after all, even though this manager has underperformed. You need to look not only at the outcome, but also at the process that drove the outcome.